policy statements. An implosion was inevitable; it was incidental that the trigger came by way of the taper tantrums.

My concern was that we would go astray in both the diagnosis and remedy if we did not acknowledge that at the heart of our external economy problem were domestic vulnerabilities. I had several conversations with Chidambaram on this, but found him reluctant to face up to this inconvenient truth. He is too intelligent not to have seen the point; I suspect he found it politically convenient to point to an external scapegoat rather than call attention to domestic structural factors.

What were these domestic structural factors? At its root, the problem was the huge current account deficit (CAD) we had been running for three years in a row and possibly for the fourth year in 2013–14. In other words, at the economy level, our total import bill was far higher than our total export earnings, making us dependent on external financing for filling the gap. The CAD was 4.2 per cent of GDP in 2011–12, 4.8 per cent in 2012–13, and most forecasts put the CAD for 2013–14 at over 4.0 per cent[2]—well above 3.0 percent of GDP, the sustainable limit as estimated by the Reserve Bank.

Why indeed did the CAD widen so much? A potent cocktail of factors was at play. First, recall that we had a classic V-shaped recovery from the crisis even while much of the world was still struggling with recession. This meant that our imports grew rapidly even as our export prospects remained bleak because of subdued global demand. The pressure was exacerbated by some real appreciation of the rupee, a consequence of our higher inflation relative to that of our trading partners, which made importing more attractive and exporting more difficult.[3] Second, the global crude price had spiked which added to our import bill, and thereby to the CAD. Third, gold imports surged, more than doubling from 1.3 per cent of GDP in 2007–08 to 3.0 per cent in 2012–13 due to larger import volumes and higher global prices. Finally, judicial orders unwittingly added to the pressure. The Supreme Court struck down the coal block allocation made by the government to private parties which resulted in a sharp decline in domestic production and forced power producers to turn to imports to meet the